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# JanGyan — Learn Without Limits

## MODULE 6: Insurance & Retirement Planning

*Category: Financial Literacy & Digital Finance*

> *"Insurance is not an expense you pay for the present — it is protection you buy for your future self and family."*

## Module Overview

This handbook is your complete, beginner-to-advanced guide to **Insurance & Retirement Planning** — how life, health, vehicle, home, and travel insurance work, and how to plan for a financially secure retirement through the National Pension System and beyond. Whether you are buying your first policy or planning decades ahead for retirement, this handbook is written so that you can read it once and walk away confident and prepared.

By the end of this module, you will not need to search anywhere else to understand the fundamentals of insurance and retirement planning.

## Learning Objectives

After completing this module, you will be able to:

- Explain what insurance is and why it matters
- Understand life, health, vehicle, home, and travel insurance
- Explain the importance of nominating a beneficiary on every policy
- Understand the National Pension System (NPS) and retirement planning basics
- Follow the correct steps to file an insurance claim
- Avoid common insurance mistakes and recognise myths from facts

## Why This Topic Matters

Insurance protects your family from financial shocks — a medical emergency, an accident, or the loss of an income earner. Retirement planning ensures you have income even after you stop working. Both are about preparing today for risks and needs you cannot always predict.

> **Reality Check:** India's overall insurance penetration stood at just **3.7% of GDP in FY 2024-25** — roughly half the global average of 7.3%. IRDAI estimates the country's protection gap at **70-80%**, meaning most Indians remain significantly underinsured. On the retirement side, the National Pension System and Atal Pension Yojana together covered over **10.11 crore subscribers** with assets under management of approximately **₹18.14 lakh crore** as of July 2026.

Being underinsured or unprepared for retirement is not usually a deliberate choice — it is often the result of not understanding these products well enough to use them. This module closes that gap.

This is why JanGyan continues its Financial Literacy journey with this module on Insurance & Retirement Planning.

## Introduction

**Insurance** is a contract in which you pay a regular amount (premium) to an insurer, who agrees to pay a defined sum if a specified event occurs — death, illness, an accident, or damage to property.

In simple words: insurance transfers the financial risk of a serious, often unpredictable loss from you to an insurance company, in exchange for a manageable, predictable premium.

Insurance works on a core principle:

| Principle | How It Works |
|---|---|
| Risk Pooling | Many people pay small premiums into a common pool; the pool pays out to the few who face a covered loss |
| Insurable Interest | You can only insure something you would suffer a genuine financial loss from losing |
| Utmost Good Faith | Both the insurer and policyholder must disclose all relevant facts honestly |

## Fundamental Concepts

### Key Definitions

- **Premium** — The amount paid, usually annually or monthly, to keep an insurance policy active.
- **Sum Assured / Sum Insured** — The amount the insurer agrees to pay in case of a covered event.
- **Policyholder** — The person who owns and pays for the insurance policy.
- **Claim** — A formal request to the insurer for payment after a covered event occurs.
- **Nominee** — The person designated to receive the policy benefit if the policyholder passes away.

## Complete Detailed Explanation

### Part A — Types of Insurance, In Overview

Insurance broadly falls into two categories: **life insurance**, which covers the risk of death or provides savings-linked benefits, and **general (non-life) insurance**, which covers health, vehicles, property, travel, and other specific risks.

### Part B — Core Insurance & Retirement Topics (Detailed)

This is the heart of the module. Each core topic is explained with a definition, how it works, and its everyday relevance.

#### 1. What is Insurance?

Insurance is a financial safety net — a way of preparing for events that are unlikely on any given day, but financially devastating if they happen without cover. It converts an unpredictable, potentially large loss into a small, predictable, regular cost.

#### 2. Life Insurance

Life insurance pays a sum to your nominee if you pass away during the policy term, protecting your family's financial security in your absence. Common types include:

| Type | What It Offers |
|---|---|
| Term Insurance | Pure protection; high cover at low premium, no maturity payout if you survive the term |
| Endowment/Savings Plans | Combines insurance with a savings component, paid out at maturity or death |
| ULIPs | Combines insurance with market-linked investment, subject to market risk |

### 3. Health Insurance

Health insurance covers medical expenses from illness, injury, or hospitalisation, either reimbursing you or paying the hospital directly (cashless treatment) at network hospitals. Given rising healthcare costs, it protects savings from being wiped out by a single medical emergency.

### 4. Vehicle Insurance

Vehicle insurance covers damage to your vehicle and/or liability toward third parties in an accident. In India, at minimum, **third-party vehicle insurance is legally mandatory** for all vehicles on public roads.

| Type | Covers |
|---|---|
| Third-Party Insurance | Legal liability for injury or damage caused to others (mandatory by law) |
| Comprehensive Insurance | Third-party liability plus damage to your own vehicle |

> **Reminder:** Driving without at least third-party vehicle insurance is illegal in India and can result in fines or other legal consequences, in addition to leaving you financially exposed.

### 5. Home Insurance

Home insurance covers damage to your house and belongings from risks like fire, theft, or natural disasters. It remains significantly underused in India relative to the value of property most families own, despite being relatively affordable.

### 6. Travel Insurance

Travel insurance covers risks during a trip — medical emergencies, trip cancellations, lost baggage, or flight delays. It is especially important for international travel, where medical costs abroad can be extremely high and are usually not covered by domestic health insurance.

> **Tip:** Always read the policy wording for exclusions — pre-existing conditions, specific activities, or certain destinations are commonly excluded from standard travel insurance policies.

### 7. The Nominee Concept

A nominee is the person you designate to receive the benefit of a policy, bank account, or investment if you pass away. Without a nominee, your family may face a longer, more complicated legal process to claim what is rightfully theirs. Every insurance policy, bank account, and investment should have an updated nominee.

### 8. National Pension System (NPS)

NPS is a government-regulated, defined-contribution retirement savings scheme where you invest regularly during your working years, building a corpus that provides a pension after retirement. A portion of the accumulated corpus can be withdrawn at retirement, while the remainder is used to purchase an annuity that pays a regular pension.

## Important Terminologies

| Term | Simple Meaning |
|---|---|
| Premium | The amount paid to keep an insurance policy active |
| Sum Assured | The amount payable by the insurer upon a covered event |
| Cashless Treatment | Hospital bills settled directly by the insurer at network hospitals |
| Annuity | A regular income stream purchased with a lump sum, often used at retirement |
| PRAN | Permanent Retirement Account Number; a unique NPS account identifier |
| Waiting Period | The time before certain health insurance benefits become claimable |

**9. Retirement Planning**

Retirement planning means estimating how much income you'll need after you stop working, and building toward that goal through a combination of tools — NPS, EPF, PPF, and other investments (covered in Modules 5 and 9). The earlier you start, the more compounding works in your favour.

**10. Insurance Claim Basics**

A claim is the process of formally requesting the insurer to pay out under your policy. Claims can be rejected due to incomplete documentation, non-disclosure of relevant facts at the time of purchase, or lapsed premium payments — making accuracy and timely renewal essential.

## Step-by-Step Understanding

### How to File an Insurance Claim

1. Inform the insurer as soon as possible after the event occurs
2. Gather all required documents (policy details, ID proof, bills, reports)
3. Submit the claim form along with supporting documents
4. For cashless health claims, verify the hospital is in the insurer's network beforehand
5. Track the claim status through the insurer's app, portal, or helpline
6. Respond promptly to any queries or additional document requests
7. If a claim is rejected unfairly, escalate through the insurer's grievance cell or IRDAI

## Real-Life Patterns

- **The Underinsurance Pattern:** Many families buy a life insurance sum assured far lower than what would actually be needed to replace years of lost income.
- **The Missing Nominee Gap:** Policies, bank accounts, and investments left without an updated nominee often cause lengthy delays for families during an already difficult time.
- **The Lapsed Policy Trap:** Missing premium payments can lapse a policy, leaving a family with no cover exactly when it might be needed most.
- **The Late-Start Retirement Gap:** Delaying retirement contributions by even five to ten years significantly reduces the final corpus, due to lost compounding time.

## Practical Scenarios

**Scenario 1: You've never updated the nominee on an old life insurance policy since you got married.**
*Update it immediately — an outdated nominee can cause serious delays and disputes for your family.*

**Scenario 2: A hospital asks for advance payment despite you having health insurance.**
*Check if the hospital is in your insurer's cashless network; if not, you may need to pay and file for reimbursement afterward.*

**Scenario 3: You're 25 and think retirement planning can wait until your 40s.**
*Starting even small NPS or retirement contributions now gives compounding two extra decades to work in your favour.*

**Scenario 4: Your insurance claim is rejected, and you believe it's unfair.**
*Request the rejection reason in writing, escalate to the insurer's grievance cell, and approach IRDAI's grievance system if unresolved.*

## Government Bodies & Regulations

- **IRDAI (Insurance Regulatory and Development Authority of India):** Regulates all insurers and protects policyholder interests.
- **PFRDA (Pension Fund Regulatory and Development Authority):** Regulates the National Pension System and Atal Pension Yojana.
- **Bima Sugam:** IRDAI's official one-stop digital marketplace for comparing, buying, and managing insurance policies and claims.

## Key Government Schemes

| Scheme | What It Offers |
|---|---|
| Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY) | Low-cost, renewable life insurance for citizens aged 18-50 |
| Pradhan Mantri Suraksha Bima Yojana (PMSBY) | Low-cost accidental death and disability cover; over 57 crore enrolments as of February 2026 |
| Ayushman Bharat (PM-JAY) | Government health cover for economically vulnerable families |
| Atal Pension Yojana (APY) | Guaranteed minimum pension scheme, mainly for the unorganised sector |

**Note:** Government pension schemes like PPF and EPF are covered in more depth in Module 9 (Government Financial Schemes & Financial Inclusion).

## Important Statistics

| Metric | Figure |
|---|---|
| Overall insurance penetration, FY 2024-25 | Approximately 3.7% of GDP |
| Life insurance penetration, FY 2024-25 | Approximately 2.7% of GDP |
| Global average insurance penetration | Approximately 7.3% of GDP |
| India's estimated protection gap | Approximately 70-80% |
| NPS + APY total subscribers, July 2026 | Approximately 10.11 crore |
| NPS + APY assets under management, July 2026 | Approximately ₹18.14 lakh crore |
| PMSBY total enrolments, February 2026 | Approximately 57.11 crore |

*(Figures are approximate, sourced from IRDAI and PFRDA releases as reported through mid-2026; official portals should be checked for the latest updates.)*

## Best Practices

- Buy adequate life cover — enough to replace several years of income for your dependents
- Buy health insurance early, when premiums are lower and waiting periods start sooner
- Keep every policy's nominee details updated after major life events
- Pay premiums on time to avoid a policy lapsing
- Read policy documents fully, especially exclusions, before buying
- Start retirement contributions as early as possible, even in small amounts
- Keep copies of all policy documents accessible to your family

## Common Mistakes

- Buying insufficient life cover relative to actual family needs
- Delaying health insurance until an illness makes it harder or costlier to get
- Leaving nominee details outdated or blank
- Letting a policy lapse by missing premium payments
- Not disclosing pre-existing conditions or relevant facts when buying a policy
- Assuming retirement planning can wait until later in one's career

## Myths vs Facts

| Myth | Fact |
|---|---|
| "I'm young and healthy, so I don't need health insurance yet" | Buying early usually means lower premiums and shorter waiting periods for future coverage |
| "My employer's group health cover is enough" | Group cover usually ends when you leave the job, leaving a gap without personal health insurance |
| "Term insurance is a waste since I get nothing back if I survive" | Term insurance provides high-value protection at low cost — its purpose is protection, not returns |
| "Nominating someone once is enough for life" | Nominee details should be reviewed and updated after marriage, children, or other major life changes |
| "NPS returns are fixed and guaranteed" | NPS returns are market-linked and vary based on the investment choices made |

## Do's and Don'ts

| Do | Don't |
|---|---|
| Buy adequate life and health cover early | Don't wait until an emergency to consider insurance |
| Keep nominee details updated on every policy | Don't leave nominee fields blank or outdated |
| Disclose all relevant facts honestly when buying a policy | Don't hide pre-existing conditions to lower premiums |
| Pay premiums on time, every time | Don't let a policy lapse over a missed payment |
| Start retirement contributions as early as possible | Don't assume retirement planning can wait until later |

## Insurance & Retirement Tips

### For Individuals

- Review your life and health cover every few years as income and responsibilities grow
- Keep policy documents and nominee details easily accessible to family

### For Families

- Ensure every income-earning member has adequate life and health cover
- Discuss and document where all policies and nominee details are kept

### For Young Earners

- Buy health insurance and start NPS contributions as early as possible
- Choose term insurance for affordable, high-value life cover

### For Senior Citizens

- Review annuity and pension payout options carefully before choosing one
- Keep health insurance active and understand what it covers post-retirement

## Practical Checklist

- [ ] Reviewed whether life and health cover are adequate for your needs
- [ ] Updated nominee details on every insurance policy and account
- [ ] Confirmed all premiums are paid and no policy is at risk of lapsing
- [ ] Understood your health policy's network hospitals and waiting periods
- [ ] Started or reviewed NPS or other retirement contributions
- [ ] Kept policy documents accessible to family members
- [ ] Know the correct steps to file a claim if needed

## Quick Revision Notes

- Insurance = transferring the risk of a large, unpredictable loss to an insurer for a small premium
- Term insurance offers high protection at low cost; endowment/ULIPs combine insurance with savings
- Third-party vehicle insurance is legally mandatory in India
- A nominee should be updated after every major life event
- NPS is a market-linked, government-regulated retirement savings scheme
- India's insurance penetration (3.7% of GDP) remains well below the global average (7.3%)

## Key Takeaways

1. Insurance is protection, not an investment — its value lies in transferring risk
2. Being underinsured is common in India and usually unintentional
3. Retirement planning benefits enormously from starting early, due to compounding
4. Accurate disclosure and updated nominees prevent most claim disputes
5. Understanding a policy before buying prevents unpleasant surprises at claim time

## Glossary

**Annuity —** A regular income stream purchased with a lump sum, often used at retirement
**Claim —** A formal request to the insurer for payment after a covered event
**IRDAI —** Insurance Regulatory and Development Authority of India
**Nominee —** The person designated to receive policy benefits if the policyholder passes away
**NPS —** National Pension System; a government-regulated retirement savings scheme
**PFRDA —** Pension Fund Regulatory and Development Authority
**Premium —** The amount paid to keep an insurance policy active
**PRAN —** Permanent Retirement Account Number; a unique NPS account identifier
**Sum Assured —** The amount payable by the insurer upon a covered event
**Term Insurance —** Pure life protection with no maturity payout if the policyholder survives the term

## Frequently Asked Questions

**1. How much life insurance cover do I need?**
A common guide is cover worth several times your annual income, adjusted for your family's specific needs and debts.

**2. Is health insurance necessary if I'm young and healthy?**
Yes — buying early usually means lower premiums and shorter waiting periods for future coverage.

**3. What happens if I miss a premium payment?**
Most policies offer a grace period; missing it beyond that can lapse the policy, ending your coverage.

**4. Can I change my nominee after buying a policy?**
Yes, nominee details can be updated any time and should be reviewed after major life events.

**5. Are NPS returns guaranteed?**
No — NPS returns are market-linked and depend on the investment choices made within the scheme.

## Official References


- Insurance Regulatory and Development Authority of India (IRDAI)
- Pension Fund Regulatory and Development Authority (PFRDA)
- IRDAI: **https://www.irdai.gov.in**
- PFRDA / NPS: **https://www.pfrda.org.in**
- Bima Sugam: **https://www.bimasugam.in**


## Conclusion

Insurance and retirement planning are both about preparing today for a future you cannot fully predict. Adequate life and health cover protect your family from financial shocks, while consistent retirement contributions ensure income long after your working years end.

This is only the next step in your Financial Literacy journey with JanGyan. Stay protected, stay prepared, and remember: **the best time to buy insurance and start retirement planning is always now, not later.**

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